IMAGINARY

Imaginary Venture Capital Partners II, L.P.

Q4 2025

A Note from Team Imaginary

Over the past year, AI has been a singularly overwhelming disruptive trend across business, technology, and capital markets. The emergence of AI has dominated the global narrative in a way that happens once in a generation at best. Large segments of industry are reorienting and reorganizing around expectations related to the proliferation and impact of AI.

But in our work, the story has been different. When we consider the ways in which we have focused our attention over the last year, when we consider the trends that have broken through with the most potency, a much less artificial theme emerges: *humanness*.
Our work, by its nature, has a fundamentally human element. An immutable physicality. We can conjure this quality by recalling the experiences of putting on a sweater, applying moisturizer, eating a taco, drinking an energy drink, filling a handbag with the items that get us comfortably through our days. These are experiences, moments, that we can feel. The point is not to romanticize this physicality, but rather to remind ourselves that the human senses are inextricable from the human experience.

Technology does change the way we get there. The way we discover. The way we find validation. The way we infer meaning and status. The way we shop and the way we pay. But at the end of each consumption journey, there is something truly human to anticipate.
We consider one of our core responsibilities to be the tracking and understanding of the modern consumer's desires. And we sit together as a team each week to apply our observations to our work. Over the last year, in some ways ironically given the overwhelm of the AI narrative, we continue to gravitate toward this human element. The themes we feel have been most consequential in our work are in some ways directly opposed to the prevailing trends in technology (and we would hardly bet against their having been catalyzed in reaction to them): an elevated focus on the health and appearance of the human body itself; a heightened desire for community and belonging; a more discerning attention to ingredient profiles and product composition (and a preference for premiumization). It is our point of view that humans will always want to lean into those things which make them human, and potentially more intensely during a moment at which technology can at times feel more like a threat than a friend.

Lots of our work over the last year can be tied to an explosion of interest in the human body. Over-the-counter supplements and longevity, GLP-1s and weight loss, peptides and human performance. There's a generation of young men unabashedly focused on their superficial physical appearance. They are leaning into their hair, skin, muscularity, and body composition in a way they were simply not doing five years ago. Women in huge numbers are taking up strength training. People are sleeping more, drinking less, paying more attention to recovery alongside exercise, and in many instances tracking and quantifying their progress across all of these pursuits. We have seen wellness-oriented physical spaces emerge as a powerful substitute for traditional social environments predicated on eating and drinking.

We are also seeing the consumer express a greater desire for community. We have seen fitness concepts, boutique and national, coalesce around the community of people they bring together in and out of their actual spaces. We have seen brands lean into this desire by hosting events, cultivating more participatory physical retail expressions, popping up in locations of concentrated cultural significance, and even investing in their presence in social media comments sections as a means of nurturing conversation and community there. We have observed that the best brands are taking a much more hands-on and interactive approach with their audiences.

We have also noticed the consumer adopting a much more involved and informed relationship with the ingredients in the products they consume. The customer is asking for more out of their food: more protein per calorie, more fiber, more natural ingredients. It's about efficiency and functionality. It's not just about experience now, but also about outcomes. The beauty landscape is trending clinical in orientation: the modern beauty customer wants her products to work harder for her. She knows the science has evolved and she wants the better results it should bring. And similarly, we are noticing the customer expressing a preference for premiumization. Better products with better inputs. Customers want more out of what is going into and onto their bodies.

A founder in our portfolio recently noted that it is as hard as ever for a brand to "break through" and move the culture. We attribute

A Note from Team Imaginary (cont.)

much of this difficulty to the sheer volume of content coming out daily on digital channels and to the proliferation of consumer brands across categories. The consumer has more choice and is facing more noise than ever. It is our view that the brands that succeed at breaking through will strike a distinctly human nerve. They will shake the culture by appealing to the foundational elements of our humanity.

But this commentary is not intended to imply that AI is irrelevant to our work. It is highly relevant. AI is affecting the speed and specificity with which brands can reach and engage their customers. It is affecting the leverage (and maximum theoretical profitability) with which teams can operate their businesses. It is shaping the ways that brands can and will distribute their content and products. We are in the very early days of brands beginning to think about AEO (Answer Engine Optimization) the way they have for over a decade thought about SEO and paid advertising. On March 24th Shopify and OpenAI announced an updated partnership making Shopify merchants directly shoppable by an in-app storefront within ChatGPT. The pipes are being overhauled. We recently evaluated a luggage and accessories brand that will do more than $200M of revenue in its second year of trading and is spending <2% of revenue on Payroll. We believe leverage like this is only possible now, in this new era of technological efficiency.

We recently surveyed our portfolio to understand the ways in which they are deploying AI tools into the operations of their businesses, and also to understand the magnitude of the impact it is having so far. Some of our portfolio companies have dramatically overhauled their operations around the efficiencies they are finding via AI. These tend to be the more technically oriented companies (software, online retailers, etc.). Across the CPG landscape, the general theme is still experimentation with point solutions to compress time spent on, and extract additional value out of, very specific business initiatives like customer retargeting, creative content generation, customer support. The translation of these initiatives into PnL impact is still relatively nascent. We are encouraged by the potential. One thing that has become very clear to us is that we have to index ourselves toward founders who are ahead of the curve in thinking about how to orient and even build consumer businesses natively around AI. We can draw a parallel to founders who were ahead of the curve in the early days of Instagram and TikTok. These are the founder personas we think will generate alpha.

We have been experimenting with AI tooling ourselves. We recently equipped our entire junior investment team with finance-specific AI assistants. We are already seeing productivity gains across the team, richer data analysis, and higher quality output. We are leaning more heavily into data and the insights we can glean from more data with better technology. But at the end of the day we are reminding ourselves that our work is a combination of science and taste. And the answers to the questions lie as much in the data as they do in our understanding of how a company resonates with its human customer.

We are really encouraged by the momentum we are feeling in consumer right now. Taken in the context of the volatility across public technology stocks precipitated by swings in sentiment on the impact of AI and the cost of the CapEx associated with it, we feel that the market is reflecting extremely positively on consumer. This week alone there have been five acquisitions at nine to ten-figure enterprise values of companies across beauty, personal care, beverage, alcohol, and supplements/nutrition. These are very human categories.

So we feel that the work ahead of us is to continue to study and reflect on the human element of consumer investing while paying close attention to the platform and business model shifts that are being effectuated by AI. Many parts of our business will evolve over the next five years, some probably to a point of unrecognizability. But the thing that keeps us as motivated as ever is our belief that the heart of what we do – investing in consumer businesses that create desire and appeal to the human experience – will remain stable in the face of an otherwise incredibly dynamic landscape. The customer will always be human.

Priority Company Updates

The companies below are likely to drive meaningful DPI in the fund.

10Beauty

Company	Overview	Initial Investment Date	% Ownership
10Beauty	10BEAUTY is a technology company whose mission is to bring the beauty services industry into the home.	February 2021	13%

Cash Runway	Profitability Profile	ARR Scale	YoY % ARR Growth
4+ quarters	Not Profitable	Pre-Revenue	N/A

Board Seat
Kelly Dill

Other Investors
LERER HIPPEAU
RED SEA VENTURES

Q4 2025 Updates

10BEAUTY delivered its most important milestone to date in Q4, launching its first live Ulta machines and generating encouraging early demand signals. Over the first six weeks live, the company completed 85 manicures with 96% booking utilization, 76% customer satisfaction rate, and an 8.3/10 score on likelihood to shop at Ulta because of 10Beauty. This validated consumer interest even as the launch highlighted the need for further work on software stability, application quality, and speed before scaling. Looking ahead, with a deliberate rollout plan and a $40M Series B underway, 10Beauty is focused on refining the product before expanding more aggressively.

builder

Company	Overview	Initial Investment Date	% Ownership
builder	BUILDER is a codeless, drag-and-drop editor & headless content management system for websites.	July 2021	3%

Cash Runway	Profitability Profile	ARR Scale	YoY % ARR Growth
4+ quarters	Not Profitable	$10M - $49M	+92% (FY)

Board Seat
N/A

Other Investors
ICONIQ
INSIGHT PARTNERS

Q4 2025 Updates

BUILDER closed 2025 with a standout Q4 and finished the year with ARR up almost 2x year over year and on plan. Fusion, their new tool, continued to pull the business upmarket, with Q4 marking the strongest quarter in company history as enterprise wins accelerated with logos like Netflix, IHG, e.l.f. Beauty, ServiceNow, and Nationwide. A major expansion at Intuit made it the company's largest customer. With their $25M Series B having closed at a $185M post-money in December, the team is shifting from largely inbound toward a more deliberate outbound strategy, which should better position the business for its next phase of growth in 2026.

MÌLÀ

Company	Overview	Initial Investment Date	% Ownership
MÌLÀ	MÌLÀ is an Asian-inspired food brand preserving traditional recipes with a contemporary twist.	January 2022	13%

Cash Runway	Profitability Profile	Revenue Scale	YoY % Revenue Growth
4+ quarters	Approaching Breakeven	$50M - $99M	-17% (FY)

Board Seat
Logan Langberg

Other Investors
STRIPES

Q4 2025 Updates

MÌLÀ continued its retail-first transition in Q4. While revenue declined year over year in the prior two quarters due to a strategic shift away from DTC, Q4 marked a turnaround with +13% YoY growth. This is a positive note to end a reset year on in which full-year revenue declined 17%. This decline was expected and driven by a focus on retail. Club & Grocery, Mila's two priority channels, saw consolidated 143% year over year revenue growth in FY2025. Strong execution on the Costco National Buy drove the company's first positive EBITDA month of the year in Q4, demonstrating operating leverage at scale. This reinforces momentum heading into a year of new distribution and new refrigerated launches, an in-demand retail category.

Priority Company Updates (cont.)

Company	Overview	Initial Investment Date	% Ownership
Pepper	PEPPER is a digital infrastructure that powers the historically fragmented foodservice supply chain.	November 2020	10%

Cash Runway	Profitability Profile	ARR Scale	YoY % ARR Growth
4+ quarters	Not Profitable	$10M - $49M	+112% (FY)

Board Observer
Logan Langberg

Other Investors
ICONIQ
Index Ventures

Q4 2025 Updates

PEPPER recorded an impressive Q4, with ARR up 112% year over year and coming in on plan for both the quarter and the full year. While new-logo bookings and Ads expansion were softer than expected, retention remained strong and newer products including Sales Hub, Order Agent, and Payments continued to scale. Pepper also closed a $50M Series C in February 2026, materially extending runway and giving the team room to keep investing behind GTM and product. Looking ahead, with win rates improving, implementation ramping up, and Growth Agent beginning to validate, Pepper is well positioned to reaccelerate efficient growth in 2026.

Company	Overview	Initial Investment Date	% Ownership
SKIMS	SKIMS is a groundbreaking shapewear and loungewear brand co-founded Kim Kardashian.	March 2020	3%

Cash Runway	Profitability Profile	Revenue Scale	YoY % Revenue Growth
4+ quarters	Profitable	$1B+	*Confidential*

Board Seat
Nick Brown

Other Investors
Alliance Consumer Growth
Thrive Capital
Wellington Management

Q4 2025 Updates

SKIMS revenue came in slightly below budget for both Q4 and FY2025, driven by delayed store openings, the timing shift of the NikeSKIMS launch, supply chain lags, and softer digital conversion. Despite these headwinds, the team made progress on key growth levers, particularly in physical, which is the fastest-growing channel, representing over one-third of sales with ~30%+ store-level profitability across formats. The company accelerated its global footprint with 15 owned stores opening in 2025, 9 of which opened in Q4 alone, and continued international expansion. While 2025 was a challenging year across the consumer digital landscape, the SKIMS team remains confident in the outlook ahead for 2026.

Company	Overview	Initial Investment Date	% Ownership
SUNDAYS	SUNDAYS is a modern dog food brand with an air-dried, human-grade product.	June 2021	13%

Cash Runway	Profitability Profile	Revenue Scale	YoY % Revenue Growth
3+ quarters	Not Profitable	$100M - $499M	+54% (FY)

Board Seat
Logan Langberg

Other Investors
Avenir
Box Group
Red Sea Ventures

Q4 2025 Updates

SUNDAYS delivered a strong Q4, with revenue up 67% year over year, with both Q4 and FY2025 coming in largely on plan; FY2025 revenue grew 54% and the business ended the year at $100M+ ARR. While the business faced CAC headwinds during a marketing transition, retention improved meaningfully into year-end. Sundays had its first EBITDA-positive month in December and recorded a 25% QoQ reduction in net churn from Q3 to Q4 . Gross margin also improved 9 points for the year. Looking ahead, with the 2-week trial replaced, 3PL cost savings being realized, and Fish and Small Breed launches planned for 2026, Sundays is positioned for more profitable growth.

Priority Company Updates (cont.)

Company	Overview		Initial Investment Date	% Ownership
WESTMAN ATELIER	WESTMAN ATELIER is luxury, clean beauty founded by world-renowned makeup artist Gucci Westman.		December 2020	7%
	Cash Runway	**Profitability Profile**	**Revenue Scale**	**YoY % Revenue Growth**
	4+ quarters	Profitable	\$50M - \$99M	+18% (FY)

Board Seat
Nick Brown

Other Investors
PRELUDE GROWTH PARTNERS

Q4 2025 Updates

WESTMAN ATELIER grew revenue 18% year over year for FY2025, finishing below plan in Q4 and largely on plan for the full year. The shortfall was driven primarily by Sephora, where softer sales in multi-stick collections and a lack of newness in Q4 weighed on holiday sell-through. Nordstrom was also challenged, partially offset by continued strength internationally and in the core sticks business. Despite the challenges, the brand still expanded EBITDA margin by +3 pts from 2024. The team is focused on continued margin expansion and retailer productivity, while success with Hydrobalm & Liquid Foundation products, along with EMEA expansion, should support reacceleration in 2026.

Additional Portfolio Company Profiles

Company	Overview	Initial Investment Date	% Ownership	Board Seat	Other Investors
EON	EON is a technology company enabling Digital IDs for retail brands, allowing products to become interactive, intelligent, and profitable assets. EON's software enables brands to create and manage digital identities throughout products' lifecycles.	January 2022	15%	Natalie Massenet	Commerce Ventures
GRIN	GRIN is a SaaS business providing a CRM and end-to-end suite of tools for eCommerce brands managing influencer marketing campaigns and workflows. Grin offers a fully end-to-end solution for influencer campaign management.	May 2021	3%	N/A	Lone Pine Capital
Safely	SAFELY, founded by Kris Jenner and Emma Grede, is a modern home cleaning company, offering a line of elevated and aspirational soaps and detergents with clean ingredients and sophisticated and highly gratifying scent profiles.	November 2020	15%	Nick Brown	Alliance Consumer Growth
shiftsmart	SHIFTSMART is a labor network powering the modern workforce at enterprise companies. Shiftsmart connects customers such as Apple, AirBnB, and Subway, among others, to a network of over 400,000 shift workers in 50+ countries.	November 2021	2%	N/A	
stripe	STRIPE is a fintech and payments business that provides the economic infrastructure for the internet. Its software and APIs allow millions of companies of all sizes to accept payments and send payouts.	March 2021	<1%	N/A	Lightspeed, Sixth Street

Follow-On Investments & Valuation Updates

Builder.io – The Company closed its Series B, raising $25M at a $160M post-money valuation. The Fund did not participate in the round but has reflected the increased valuation.

EON – Based on the recent performance of the Company, the Fund has marked its investment down to 0.5x.

Grin Technologies – Based on the recent performance of the Company, the Fund has marked its investment down to 0.5x.

Pomegranate Technologies (Pepper) – The Company closed its Series C, raising $50M at a $255M post-money valuation. The Fund did not participate in the round but has reflected the increased valuation.

Safely – Based on the recent performance of the Company, the Fund has marked its investment down to 0.5x.

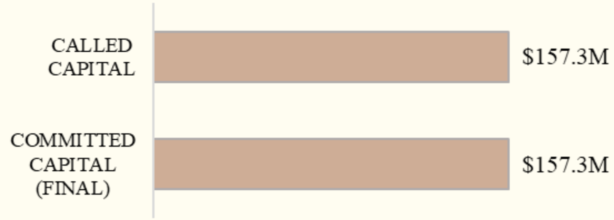
Skims – In Q4 the Company completed a Senior Preferred financing, raising $225M led by Goldman Sachs, valuating the Company at $5B. While the Firm did not participate in the round, it did mark its position up based on the closing.

Sundays – Based on recent performance, the Fund marked its investment up 1.5x from its previous valuation approximating a $330M enterprise valuation.

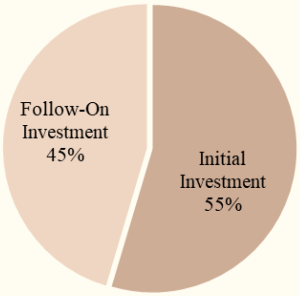
Westman Atelier – Prior to year-end the Company agreed to a Series B financing, raising $15M at a $365M post-money valuation. The transaction closed in January of 2026, and while the Fund did not participate, it has reflected the transaction in its valuation.

Portfolio Update

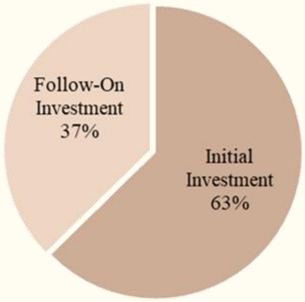
Called vs. Committed Capital



Capital Invested in Initial Rounds vs. Follow-On

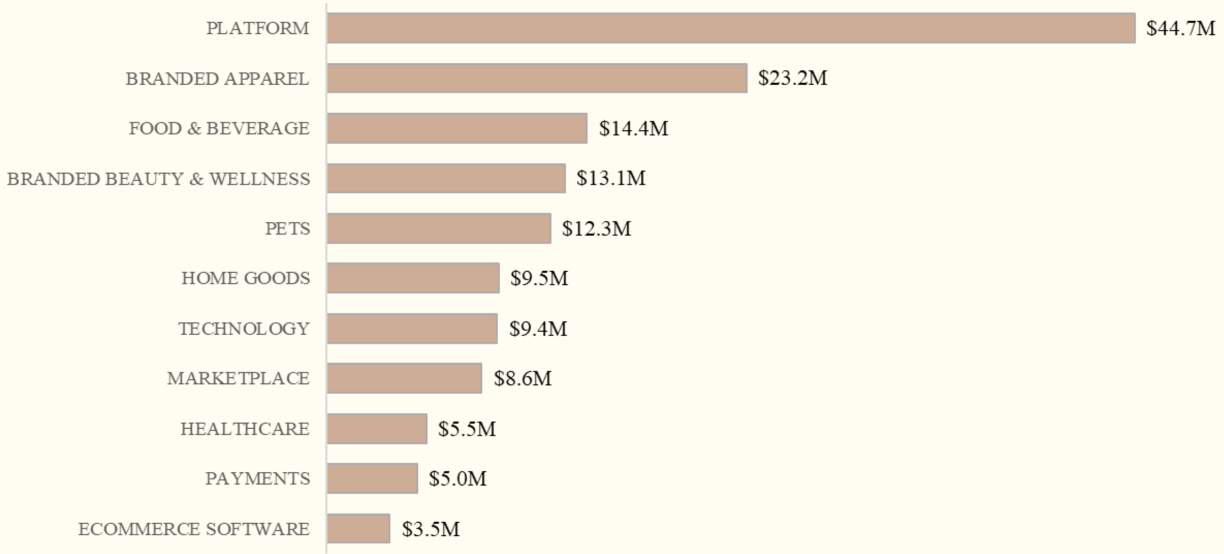


Includes Skims & Foxtrot as Follow-On



Based on investment timing as would be naturally reported

Invested Capital by Sector



Portfolio Update (cont.)

Portfolio Summary

Imaginary II Portfolio Update **12/31/2025**

Total Called Capital	**Total Invested Capital**	**Fair Market Value**
$157,250,000	$149,199,779	$305,900,294
Total Realized Gain	**Total Unrealized Gain**	**Gross Multiple**
$10,962,414	$145,738,102	2.1x

Portfolio Company	Date of First Investment	FD%	Cost	% of Fund Invested	FMV	Realized Gain / (Loss)	Unrealized Gain / (Loss)	Multiple
Imaginary II Core Investments								
Bread	2/19/2020	17%	$ 1,849,918	1%	$ -	$ (1,849,918)	$ -	–
Goodfair	6/12/2020	16%	$ 2,549,999	2%	$ -	$ (2,549,999)	$ -	–
Ami Cole	7/31/2020	22%	$ 1,850,000	1%	$ -	$ (1,850,000)	$ -	–
Nuggs (Simulate)	8/7/2020	4%	$ 3,306,060	2%	$ -	$ (3,306,060)	$ -	–
Safely	9/3/2020	15%	$ 9,491,257	6%	$ 4,745,629	$ -	$ (4,745,628)	0.5x
Pepper (Pomegranate Tech)	11/13/2020	10%	$ 9,949,996	7%	$ 17,908,453	$ -	$ 7,958,457	1.8x
Westman Atelier	12/8/2020	7%	$ 9,449,981	6%	$ 24,508,045	$ -	$ 15,058,065	2.6x
Lightspeed (fka NuORDER)	1/13/2021	5%	$ 10,027,462	7%	$ 16,934,902	$ 6,907,440	$ -	1.7x
10Beauty	2/26/2021	13%	$ 9,399,996	6%	$ 13,466,158	$ -	$ 4,066,162	1.4x
Brady Brand	4/28/2021	17%	$ 9,500,001	6%	$ -	$ (9,500,001)	$ -	–
Sundays	6/25/2021	13%	$ 12,349,997	8%	$ 35,274,533	$ -	$ 22,924,536	2.9x
Builder	7/29/2021	3%	$ 3,462,500	2%	$ 5,217,524	$ -	$ 1,755,024	1.5x
Duos	12/15/2021	7%	$ 5,499,999	4%	$ 13,112,058	$ 7,612,059	$ -	2.4x
EON	1/24/2022	15%	$ 6,499,927	4%	$ 3,249,967	$ -	$ (3,249,960)	0.5x
Milá	1/27/2022	12%	$ 11,075,032	7%	$ 20,994,329	$ -	$ 9,919,297	1.9x
Total Core Investments			**$ 106,262,123**	**71%**	**$ 155,411,599**	**$ (4,536,478)**	**$ 53,685,953**	
Imaginary II Strategic Investments								
Skims	3/16/2020		$ 13,708,264	9%	$ 130,156,206	$ 21,522,282	$ 94,925,660	9.5x
Stripe	3/19/2021		$ 5,000,016	3%	$ 7,850,493	$ -	$ 2,850,477	1.6x
Grin	5/5/2021		$ 11,700,045	8%	$ 5,850,023	$ -	$ (5,850,021)	0.5x
Shiftsmart	11/12/2021		$ 6,505,940	4%	$ 6,631,973	$ -	$ 126,033	1.0x
Foxtrot	11/19/2021		$ 6,023,390	4%	$ -	$ (6,023,390)	$ -	–
Total Strategic Investments			$ 42,937,655	**29%**	$ 150,488,695	$ 15,498,892	$ 92,052,149	
TOTAL			**$ 149,199,779**	**100%**	**$ 305,900,294**	**$ 10,962,414**	**$ 145,738,102**	**2.1x**

FMV as reported above includes realized gains & losses, as well as interest and dividends, if applicable, and as a result may differ from the U.S. GAAP financial statements